

Japan: BOJ: Raises Policy Rate to 1% at June MPM, Maintains Monthly JGB Purchases at Around ¥2 tn From April 2027

BOTTOM LINE

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- The Bank of Japan (BOJ) held its Monetary Policy Meeting (MPM) on June 15-16, and, as was widely expected, decided to raise the policy interest rate by 0.25 pp to 1% (by a majority vote). It also decided to maintain the current JGB purchase plan, which will gradually reduce the monthly purchase amount to around ¥2 tn by the January-March quarter of next year, until the end of March 2027, and to maintain the monthly purchase amount at around ¥2 tn thereafter (by a majority vote).
- As for the future conduct of monetary policy, the BOJ stated that it will continue to raise the policy interest rate.
- At Deputy Governor Shinichi Uchida's press conference from 15:30 JST, our focus will be on his: (1) assessment of upside risks to prices; (2) view on the neutral rate; and (3) assessment of the risk of falling behind the curve.

MAIN POINTS

- The BOJ held its MPM on June 15-16, and, as was widely expected, decided to raise its policy rate guidance on the overnight call rate (TONA) by 0.25 pp to 1% (by a majority vote). Board member Toichiro Asada dissented, proposing to maintain the rate at 0.75%.
- It also decided to maintain the current JGB purchase plan, which will gradually reduce the monthly purchase amount to around ¥2 tn by the January-March quarter of next year, until the end of March 2027, and to maintain the monthly purchase amount at around ¥2 tn thereafter (by a majority vote). MPM Member Naoki Tamura voted against, proposing to reduce the amount of the monthly JGB purchase by around ¥200 billion each quarter until January-March 2028. Furthermore, the BOJ announced that for the newly decided purchase plan it will discontinue the annual interim assessments conducted thus far, and will maintain the monthly purchase amount at around ¥2 tn until deemed necessary.
- The overall assessment of the economy was unchanged from the April Outlook Report, i.e. it "...has recovered moderately, although some weakness has been seen in part..." Assessments for each component were also unchanged from the April Outlook Report. On prices, although the rate of increase is slowing due to factors such as the effects of government measures to reduce the burden of higher energy prices, the BOJ reiterated its view from the April Outlook Report that "...moves to pass on wage increases to selling prices continuing". The BOJ

also maintained its baseline scenario of the outlook for the economy and prices as laid out in the April Outlook Report. The statement also noted, “the risk of a significant slowdown in the economy (from the impact of the Middle East) appears to have decreased compared to a while ago”, but on prices, it acknowledged that “a risk of underlying CPI inflation deviating upward to a level above the price stability target of 2 percent”. Regarding forward guidance on monetary policy, the wording was adjusted from the previous “...real interest rates are at significantly low levels...” to “financial conditions have been accommodative”, partly to incorporate the rate hike, but maintained its stance on future rate hike, stating “the Bank will continue to raise the policy interest rate and adjust the degree of monetary accommodation, in response to developments in economic activity and prices as well as financial conditions” (no change in wording).

- The press conference following the June MPM will be held by Deputy Governor Shinichi Uchida, as Governor Kazuo Ueda was absent from the June meeting. However, we take the view that Deputy Governor Uchida’s comments will be in line with the Governor’s stance, and will be in line with the talking points prepared by the secretariat. For this reason, we believe that remarks by Deputy Governor Uchida would carry the same weight for the markets as those by Governor Ueda.
- At Deputy Governor Uchida’s press conference from 15:30 JST, our focus will be on the following three points, in terms of gaining any hints regarding the future conduct of monetary policy, such as the timing of the next rate hike and the terminal rate. **First** is his assessment of upside risks to prices. Today’s statement acknowledged the risk of underlying inflation deviating upward from the 2% inflation target. We will be looking to confirm Deputy Governor Uchida’s view on how the upside risk to inflation trajectory would change with the latest policy rate hike, as well as the urgency of the subsequent rate hike. **Second** is his view on the neutral rate. The BOJ released new estimates of the natural rate of interest in March, suggesting the neutral rate is between 1.1% and 2.5%. While this latest rate hike brings the policy rate closer to the lower end of the neutral rate range, and the BOJ showed its stance to continue rate hikes, we will be looking to confirm how much room the BOJ sees for further rate hikes in relation to the neutral rate. **Third**, related to the first point, is his assessment of the risk of falling behind the curve. While the BOJ judges that it has not fallen behind the curve, it is conscious of the risk. With corporate price hikes potentially becoming more widespread over the summer due to past yen weakness and high crude oil prices, we will be paying close attention to Deputy Governor Uchida’s remarks to see if there is any change in his perception of this risk.

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